

*Journal of***APPLIED CORPORATE FINANCE**

A MORGAN STANLEY PUBLICATION

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Using Organizational Architecture to Lead Change*

by James Brickley, Clifford Smith, and Jerold Zimmerman, University of Rochester,
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Effective leadership involves a great deal more than just developing the right strategic vision for the company. You also have to motivate people throughout the organization to help make that vision a reality. Some argue that leaders motivate people through personal charisma, style, and inspiration. But while business managers can learn a lot from studying the styles of inspirational leaders, charisma is a quality that for most people is difficult to acquire.

The organizational architecture framework presented in our book—*Designing Organizations to Create Value: From Strategy to Structure*—suggests that there are other important attributes of effective leadership that can be learned. The framework begins with the premise that people generally make choices that are in their own self-interest—that is, they are generally more concerned about their own welfare (or that of their families, colleagues, and communities) than about the welfare of the owners or shareholders of the company. Early in the book, we argue that to encourage employees to carry out the corporate vision, companies must ensure consistency among the three main components of their organizational architecture—the allocation of decision-making authority (that is, who in the organization gets to make what decisions), performance measurement systems (how performance is evaluated), and reward systems (the rewards for success and the consequences of failure).

We go on to argue that the organizational architecture framework developed in these pages can provide insights into more effective leadership. And if leadership is clearly important in the internal marketing of a company's strategic vision, it plays an even bigger role in helping people recognize the need for and then carry out any *changes* in a company's architecture that are required to realize that vision. Effective leadership is also critical to understanding and deciding when and how to work within the existing structures rather than making too many changes at once. Our framework is especially useful for evaluating management innovations (such as Six Sigma or the Balanced Scorecard), deciding when a particular innovation will be useful in achieving organizational change,

anticipating the effects of that innovation on other parts of the organizational architecture—and then appropriately sequencing the necessary adjustments so that employees are not overwhelmed by too many changes at once (in much the same way that a golf pro does not try to change everything about a player's swing all at once).

Finally, our framework can be applied in thinking about another important leadership issue: corporate ethics. Over the past decade, a great deal of public attention has been devoted to business ethics and corporate responsibility. And many U.S. companies have responded by issuing formal codes of conduct, appointing ethics officers, and instituting training programs in ethics. But a key question for top management is whether the desired behavior is consistent with the incentives established by the firm's organizational architecture. Strategy, business ethics, and architecture are interdependent, and it is important that the company be structured in a way that reinforces the firm's code of conduct.

Leading the Vision: The Case of Xerox

When David Kearns was appointed CEO of Xerox Corporation in the early 1980s, the company faced serious problems. Between 1976 and 1982, Xerox's share of installations of new copiers in the U.S. had dropped from about 80% to 13%. Japanese companies such as Canon, Minolta, Ricoh, and Sharp had become major players in this market and were selling copiers at prices below Xerox's cost.

A primary reason for Xerox's decline in market share was poor product quality. As Kearns put it:

Our customer cancellations were rapidly on the rise, and our response to the problem was to try to outrun them by pushing hard to get enough new orders to offset the customers we had lost. Customers were fed up with our copiers breaking down and our service response. [Without major change,] Xerox was destined to have a fire sale and close down by 1990... [Our] only hope for survival was to urgently commit the company to vastly improving the quality of its products and services.¹

*This article is a slightly edited version of Chapter 10 of *Designing Organizations to Create Value: From Strategy to Structure*, by James Brickley, Clifford Smith, and Jerold Zimmerman, with Janice Willett (New York: McGraw-Hill, 2003). It is reprinted here with the permission of the publisher. Some of the key underlying concepts for the framework detailed in our book were originally developed by other scholars. We are particu-

larly indebted to our Simon School colleagues, present and former—especially Michael Jensen and the late William Meckling, whose pioneering research in organization theory kindled much of our own research.

1. D. Kearns and D. Nadler, *Prophets in the Dark* (New York: Harper Business Press, 1992).

According to Kearns, most Xerox employees understood neither the extraordinary gravity of the problem nor the fundamental importance of improving product quality. Kearns also realized that he stood little chance of implementing his vision of increasing product quality simply by ordering thousands of employees to start focusing on quality. First, not all employees had the skills and training required to produce quality products. Second, unless employees could be convinced that it was in their self-interest to focus on quality, it would be difficult to motivate them to change their behavior. Certainly, Kearns did not have time to monitor each employee to see if his strategic vision was being implemented. And he faced a difficult balancing act: He feared that painting too dismal a picture would cause key people to leave the company.

Kearns initiated a plan to shift Xerox's corporate direction. He realized that many employees would oppose the kind of dramatic change that he envisioned. They might fear losing their jobs, being reassigned, or having to relocate. So Kearns first targeted a select group of key executives and convinced them of the need to improve product quality. These individuals helped to refine the quality vision and convinced other employees of the potential benefits of the change in focus. Employees throughout the company received substantial training in quality-improvement techniques. The importance of quality was emphasized at every opportunity—media releases, management speeches, signs on bulletin boards, and so forth. In addition, management stressed the potential crisis posed by Japanese competition.

Yet despite the additional training and internal publicity, the desired change in culture simply was not occurring. Kearns realized that to change employee behavior, senior managers had to do more than just exhort, cajole, and plead—they had to make changes to the performance measurement and compensation systems. As Kearns says,

Unless people get rewarded and punished for how they behave, no one will really believe that this is anything more than lip service. A widespread problem that was singled out was that people said we were still promoting and rewarding employees who weren't true believers and users of the quality process. This was creating noise in the system and sending mixed signals. It had to stop.²

Kearns put teeth in the program by changing the criteria for promotions and compensation decisions to place a heavy weight on the employee's level of commitment to and efforts toward implementing the new focus on customer satisfaction and quality. Together with those changes, he instituted a production defect report that was distributed daily to all assembly-line workers, flattened the management structure to allow for greater employee input into quality improvement,

and adopted more sophisticated monitoring of manufacturing processes. These changes finally brought about the necessary shift in culture at Xerox.

Leadership and Decision-Making

Webster's defines *leadership* as "leading others along a way, guiding." This definition suggests that there are at least two important characteristics of good leadership. First, the leader must help the organization choose the right path by developing a vision, goal, or plan. Second, the leader must help motivate people to follow that path. Since these tasks are performed by people throughout the organization, leadership is in no sense the exclusive domain of top management. Many employees assume important leadership roles in one way or another.

Vision Setting

By vision, we simply mean a strategic course of action for the firm. Sometimes leaders independently conceive a corporate vision. Kearns says he was among the first to envision Xerox as a quality-based organization. But senior executives do not always have all the relevant knowledge to develop important strategic visions on their own. In many cases, a corporate vision draws heavily on the "wetware"—that is, the specific knowledge and problem-solving approaches—of lower-level employees or even people outside the firm, including consultants. The wetware for formulating a vision often comes from the experience of more than one individual, and companies typically try to involve many employees in the development of strategic mission statements.

An important aspect of effective leadership is establishing an organizational architecture that motivates those employees with the knowledge to offer value-adding proposals to take part in setting the corporate vision. It is this view that has prompted much of the current literature on the role of managers in empowering employees to "unleash their untapped creativity."

Motivation

While an appropriate vision is important, it cannot increase shareholder value unless it is implemented. *It is often better to successfully implement a pretty good plan than to identify yet fail to implement the perfect plan.* Thus, the task of motivating is at least as important as the task of goal setting.

As stated earlier, our framework begins with the premise that people make choices that are in their own self-interest rather than in the interests of the owners or shareholders of the company. From this perspective, the problem of motivating employees to follow a proposed direction or course of action is the standard incentive problem in corporate finance. And our organizational architecture framework provides techniques to address it.

2. Ibid.

Decision-making is often regarded as a purely intellectual exercise: relevant alternatives are identified, analysis conducted, and the best alternative chosen. Implementation is treated as an afterthought. In this view, good leadership is equivalent to conducting careful analysis and initiating good proposals. Within most companies, conducting careful analysis and developing good proposals are important but far from sufficient. Managers must often make a concerted effort to gain the support of other employees for their proposals to succeed.

Take the case of Xerox's Palo Alto Research Center (PARC), whose accomplishments include the invention of the first personal computer, the first graphics-oriented monitor, an early version of a hand-held computer mouse, the first word-processing program for non-expert users, the first local area communications network, the first object-oriented programming language, and the first laser printer. As things turned out, Xerox failed to capitalize commercially on *any* of this innovative technology. One reason was that PARC was physically removed from the rest of Xerox, and PARC's managers apparently did not understand the importance of motivating other units in the firm (such as the marketing division) to support its technological vision. Employees at PARC were characterized as arrogant and suffering from a "we/they attitude toward the rest of Xerox." In the words of Jeffrey Pfeffer, author of *Managing with Power*:

By not appreciating the interdependence involved in a new product launch and the skills required to manage that interdependence, PARC researchers lost out on their ambition to change the world of computing, and Xerox missed some important economic opportunities. Organizations, particularly large ones, are like governments in that they are fundamentally political entities. To understand them, one needs to understand organizational politics, just as to understand governments, one needs to understand government politics.³

In a similar vein, former Secretary of State Henry Kissinger offered the following observation about decision-making:

Before I served as a consultant to Kennedy, I had believed, like most academics, that the process of decision-making was largely intellectual and all one had to do was to walk into the President's office and convince him of the correctness of one's view. This perspective I soon realized is as dangerously immature as it is widely held.⁴

Understanding Attitudes toward Change

Some people are more receptive to change than others. But it is the rare employee who will support a proposal that reduces his or her well-being. Neither is an employee likely

to enthusiastically support a proposal simply because it increases shareholder value—it must also be perceived as somehow increasing the employee's well-being. For instance, if employees think that a proposal will increase the likelihood of layoffs, they will oppose the change. But they will not necessarily come right out and express their concerns about the consequences of the proposal. Instead, they might question the underlying analysis, or waste time developing spurious evidence to convince others that the proposed program is unworkable. They might try to block the program by failing to do their part during its implementation. If enough employees engage in such actions, the proposal is doomed.

It is not always possible to accurately gauge the personal preferences of a group of employees. But senior management can analyze how a change is likely to affect employees and make an educated guess as to how they will react. This can be done within the context of the existing organizational architecture. For instance, what decision authority do various employees currently have, and how will it be affected by the proposal? Will the performance measurement system be changed to reflect the new proposal, so that everyone is focusing on the right goals? How are employees compensated, and how will the determination of rewards change under the new proposal? If employees are paid bonuses based on divisional sales and the proposal is likely to reduce those sales (perhaps by de-emphasizing certain product lines), it is reasonable to assume there will be opposition to the proposal.

Managing Change

Employee support can be increased in several ways. First, senior management can change elements of the organizational architecture to strengthen employees' interest in supporting a proposal. However, it is often necessary to exercise leadership within the existing architecture—not all managers are empowered to make changes in decision-making authority or in performance measurement or reward systems. It may also be best to work within the existing structure because frequent changes in measurement and reward systems can discourage employees from making long-range decisions and developing effective relationships with colleagues. There are methods that managers can use to implement their proposals within the existing architecture, including modifying the proposal in ways that will increase employee buy-in and marketing the proposal by communicating its benefits. Of course, these techniques can also be used in conjunction with changes in the architecture. We now discuss each of these general tactics in turn.

Changing Organizational Architecture

There are two general types of changes in a company's organizational architecture that can help gain employee support for

3. J. Pfeffer, *Managing with Power* (Boston: Harvard Business School Press, 1992), p. 8.

4. H. Kissinger, *The White House Years* (Boston: Little, Brown, 1979), p. 39.

a proposal. The first involves identifying individuals who are likely to support the proposal and increasing their decision-making authority—while perhaps reducing the authority of individuals likely to oppose the proposal. The second involves modifying performance evaluation and reward systems so that it is in the interest of more employees to support the new program. David Kearns realized that he was proposing a dramatic change in the culture at Xerox, and he ultimately implemented the appropriate changes in architecture. Key managers were made responsible for improvements in quality, and the performance measurement and compensation systems were changed to reward employees for improving quality.

Designing a Proposal

Flexibility. Employees are more likely to support a new proposal if the risk or consequences of failure can be reduced. One way to limit the risk of a proposal is to design it so that it can be modified easily after it is underway. A manager might suggest starting with a small pilot program involving only one region or a single product. If the pilot is successful, the program can be expanded; if not, it can be discontinued at low cost. Such a small-scale test does not commit the firm to adopting the program throughout the company—and it provides the option to expand. Experiments of this type commit only limited resources while providing good estimates of the costs and benefits of a proposed action. This information is available both to the senior executives who must approve an expanded program and to the employees in other parts of the firm where the program might eventually be implemented.

Commitment. While flexibility has its benefits, it also has disadvantages. If employees think that senior management is not committed to a particular proposal, they may be less inclined to take the proposal seriously. In addition, those employees who are against a change are more likely to try to convince senior management that the change is a bad idea. Managers can demonstrate their commitment in a variety of ways—speeches, meetings, and devoting resources to the idea. Kearns made it quite clear that he was committed to the quality program at Xerox and that employees should take the change seriously.

As an interesting aside, managers in companies financed primarily by equity may feel less pressure to make changes that increase cash flows, since equity provides more flexibility to decrease cash payouts to security holders in the event of a downturn. For companies with the clear ability to support it, taking on additional debt can thus serve as a signal of

management's commitment to making changes that will increase efficiency and cash flows. In this sense, managers in more highly leveraged firms have their feet to the fire, since they risk a possible control change and loss of their jobs if the firm is unable to service the debt. This suggests that one determinant of the optimal amount of corporate debt can be the desire of senior managers to indicate to employees and investors its commitment to a course of action that will increase or maintain high cash flows.

Easing the pain. In most proposals for change, some employees gain and others lose. For instance, a plan to eliminate a tier of middle managers will make some middle managers worse off but will benefit certain line employees. Managers can incorporate provisions that offset these effects and promote support among key decision-makers. For example, reassigning middle managers to report to other key managers may increase support for the proposal.

Marketing a Proposal

Employees' attitudes toward a proposed change will depend on their assessment of the expected payoffs and risk under the new proposal. The sponsor of the proposal can affect this assessment by marketing the proposal.

Careful analysis and groundwork. Because people are generally risk-averse, they are likely to oppose a new idea when they are unsure of the consequences of the proposal relative to the status quo. It is therefore important to thoroughly explain the analysis underlying the proposal and to convince key employees that the analysis is correct. Senior managers might meet with these employees to discuss the proposal and answer questions. They can give speeches on the topic, write an article for the company paper, and so on. Careful communication of the reasons for supporting the plan can help to reduce uncertainty and thereby increase support for the proposal. Unless the proper groundwork is laid, a proposal is likely to be tabled for further study or simply rejected.

Relying on reputation. People are inclined to listen to a person with an established reputation for offering sound proposals. Past success is an indicator of analytical and organizational skills and thus portends future success. Decision makers often rely on the advice of people with established reputations.⁵ If other employees are confident that a manager usually makes good decisions, they will view that manager's proposals as less risky and hence are more likely to offer support for those proposals.

As a result, a manager with an established reputation can garner support for a proposal merely by asserting that

5. This tendency is emphasized by management scholar Henry Mintzberg as follows: "I found that chief executives faced complex choices. They had to consider the impact of each decision on other decisions and on the organization's strategy. They had to ensure that the decision would be acceptable to those who influence the organization as well as ensuring that resources would not be overextended. They had to understand the various costs and benefits as well as the feasibility of the proposal. They also had to consider questions of timing. All this was necessary for the simple approval of someone else's

proposal. At the same time, however, delay could cost time, while quick approval could be ill-considered and quick rejection might discourage the subordinate who had spent months developing a pet project. One common solution to approving projects is to pick the man instead of the proposal. That is, the manager authorizes those projects presented to him by people whose judgment he trusts." H. Mintzberg, "The Manager's Job: Folklore and Fact," *Harvard Business Review*, July–August 1975, pp. 49–61.

it is a worthwhile undertaking. A proposal's sponsor can also increase support for his or her proposal by obtaining the endorsement of other managers with good reputations. If, after detailed discussions, these managers agree with the analysis, the validity of the analysis is more securely established. Moreover, their endorsement will increase support and forestall opposition throughout the organization.

Emphasizing a crisis. Another strategy for overcoming the normal preference for the status quo is to create awareness that the current situation is worse than people realize. Employees are more likely to support change when an organization faces a crisis—when a failure to change will put the organization in peril. One way managers can increase receptiveness to change is by convincing employees that the firm's situation is grave.

Kearns gained support for his quality program at Xerox by repeatedly highlighting the threat from Japanese competition. Of course, employees understand the motives of a proposal's sponsor to declare that there is a crisis, and they are unlikely to accept this argument unless it appears credible. In the case of Xerox, it was easy to document the decline in market share. It was also easy to point to the competitive threats faced by other industries, such as steel and automobiles. But this is a tactic that must be employed sparingly and judiciously. The more proposals for change that are justified as responses to crisis, the greater the risk to management's credibility.

Organizational Power

The sponsors of some proposals have more personal power than others to determine how a proposal affects various employees. An effective manager understands the sources of this power and how to acquire it.

Sources of Power

What are the sources of power within organizations? Corporate power does not come from the ability to force others to follow one's commands; there are no laws that require people to support the wishes of others within the firm. Ultimately, power comes from the ability to make others voluntarily agree to comply with one's wishes or proposals by persuading them that it is in their interest to do so.

Formal authority. Some power comes from a person's formal position within the organization. If a manager has the right to fire, promote, and compensate an employee, the employee obviously has an economic incentive to comply with the manager's wishes. In 1914, Ford Motor Company paid a wage rate of \$2.20 per day to factory workers, in line with the prevailing market rate in the Detroit area. But annual turnover at Ford was over 300%, with employees leaving to take jobs at different companies for slightly higher wages. Management thus had little power over its employees. If a

supervisor was too demanding or too difficult, an employee would simply quit and go to work for a different firm. To combat this problem, Henry Ford increased the daily wage to \$5 per day. This gave Ford tremendous power over the employees, who now wanted to keep their jobs rather than work for someone else at \$2.20 per day. As Ford himself put it: "I have a thousand men who if I say 'Be at the northeast corner of the building at 4 a.m.,' will be there at four a.m. That is what we want: obedience."⁶

Nevertheless, as the more recent experience of the Detroit automakers suggests, enlisting obedience by paying above-market wages is by no means a foolproof prescription for competitive success. And the power attached to a formal position has its limits. Employees have the usual incentives to ignore their managers' wishes. Also, disgruntled employees might form a coalition to complain to the CEO that a manager is incompetent and should be replaced—or form a labor union that insulates them from the demands of the CEO and the shareholders.

Control over budgets and resources. Control over resources is another important source of power within an organization. Some individuals have budget authority, while others decide on the allocation of office space or the policy for using copy machines. To the extent that jobs and tasks are more attractive when they provide decision-making authority over resources that others value, the possibility of increasing one's organizational power by gaining control over key resources can be an important consideration in deciding whether to apply for a particular job or assignment within the firm. Also, an individual can create power by developing a service or product that becomes important to other people within the organization. For example, the information technology manager in a company might increase his or her personal power by offering a repair service for computers within the organization, particularly if the firm limits access to external vendors.

Control of information. Information is a particularly important resource in most organizations. The information held by any one employee depends on such factors as the employee's position, office location, social network, and specialized skills, and such information can be a source of power because of its value to others. Individuals can attempt to increase their access to information by lobbying for centrally located office space (for example, at the corporate headquarters), by developing a social network within the organization, by applying for jobs that are "in the information loop," or by volunteering for key committee assignments.

Information can give a person substantial power. For example, it would be quite difficult to fire an employee who has been the primary contact for a key customer for 20 years. That employee possesses specific information on issues

6. S. Meyer, *The Five Dollar Day: Labor, Management, and Social Control in the Ford Motor Company, 1908–1921* (Albany: State University of New York Press, 1981).

ranging from company promises to customer requirements, and turnover in this position would be costly for the firm. In fact, managers often choose to get involved in projects that give them an informational advantage and thereby make themselves less replaceable.⁷

Friends and allies. Having close personal ties with decision-makers increases the likelihood that the decision-makers will act on your behalf. Managers and employees naturally do favors for other individuals within the firm (for example, providing assistance on difficult projects or filling in for them when they are on vacation) in the hope of being similarly supported in the future. Managers also often engage in “horse trading”—the marketing manager agrees to support the manufacturing manager’s new plant proposal in exchange for support for the new ad campaign. And it’s sometimes possible to piggyback on the power of other people in the firm to gain support for a proposal. Claiming that a proposal is an integral part of the CEO’s vision for the company makes it less likely that other employees will raise objections.

Is Organizational Power Bad?

We have argued that managers and employees often use their personal power and political skills to motivate change within organizations. Yet words like “power” and “politics” have negative connotations for many—if not most—people. Companies that survive are likely to have found ways to limit unproductive power grabs. But power and political skills have important benefits. Without them leaders will be unable to implement value-adding plans, and the organization will suffer. Power and political skills are thus neither good nor bad in and of themselves. They are important attributes that can be used for either productive or unproductive purposes. As Stanford Business School professor Jeffrey Pfeffer has put it,

*The development and exercise of power in organizations is about getting things accomplished. The very nature of organizations—interdependent, complex systems with many actors and many points of view—means that taking actions is often problematic. Failures in implementations are almost invariably failures to build successful coalitions. Although networks of allies can obviously be misused, they are nevertheless essential in order to get things done.*⁸

The Use of Symbols

Popular business literature often stresses the idea that effective leadership requires the clever use of symbols, such as role modeling, formal creeds, stories, legends, and logos. A CEO who is interested in improving customer service might

take the time to talk to customers directly—and then broadcast these talks to employees through media releases and videotapes. He or she might also publicize stories about employees who have gone out of their way to serve customers. For example, Nordstrom’s department stores are famous for stressing customer service and satisfaction. The vision of the Nordstrom family (who manages the firm) is to offer the customer the best in service, selection, quality, and value. The importance of customer service is impressed upon employees by frequently relating stories about sales clerks who went so far as to change a customer’s flat tire in a store parking lot, pay a customer’s parking ticket, or lend money to a customer who was short on cash to make a purchase. But Nordstrom does not rely exclusively on stories of this type to motivate employees to provide customer service—it also has a comprehensive incentive system that stresses sales and customer service.

A company may adopt formal creeds and statements to emphasize senior management’s basic vision for the company. Symbols of this type are an important aspect of corporate culture in that they remind employees of what is valued in the company. A slogan like “At Ford, Quality Is Job 1” emphasizes that employees are expected to focus on quality and customer service. Given this message, along with other reinforcing signals from top management, Ford employees have a pretty clear idea of what is expected of them, even without formal instructions. But again, symbols are unlikely to be effective unless they are reinforced by the firm’s performance evaluation and reward systems.

Continental Airlines demonstrated how a change in corporate culture can be accomplished by implementing changes in all three legs of the organizational architecture stool and instituting effective employee communications programs. For years, morale at Continental was low as a result of layoffs, financial difficulties, and wage cuts. Colleagues bickered with one another as planes departed half-full. Employees had ceased to trust management. A turnaround occurred when Continental hired a new CEO, Gordon Bethune, who initiated his four-part “Go Forward” plan. Since then, the airline has ranked first or second in measures such as on-time performance, baggage handling, and customer satisfaction. Bethune eliminated 20 out of 60 vice presidents. He got employees involved in downsizing decisions, established a phone line to handle employee complaints, and invited employees to call his personal voice mail.

Bethune also began to measure every department on the basis of things that mattered to customers. He paid every employee an extra \$65 every month that Continental finished

7. An interesting example of the power of information comes from a French cigarette plant in the 1960s. The equipment in the plant was highly automated and subject to mechanical failures. The manuals that explained how to repair the equipment had been destroyed in a fire, and the only people who knew how to fix the machines were the maintenance engineers at the factory. This information monopoly gave the engineers enormous power. The plant could not run without the engineers, and it was impossible

to replace them. Indeed, the engineers had sufficient pull to have a managing director of the company removed from his job. When new engineers were trained in the plant, they were given hands-on and verbal instruction only and instructed to destroy any notes they might have made once they mastered the techniques.

8. J. Pfeffer, *Managing with Power* (Boston: Harvard Business School Press, 1992), p. 8.

in the top half of the federal rankings of on-time flights and \$100 if it finished first. And these checks were sent to the employee's home—they were not part of the employee's regular pay. Instead of arguing over whose job it was to deliver wheelchairs to the gate, ramp workers and gate agents began to cooperate and help customers. Mechanics began fabricating their own noncritical parts. One employee remarked, "Getting the plane off the gate isn't my job or your job, we act like it's everybody's job." Continental was named "Airline of the Year" in 2001, 2004, and 2005 by Official Airline Guide. From 1998 to 2004, *Fortune* magazine ranked Continental among the best 100 companies to work for, and Continental was the most admired airline for the sixth straight year in *Fortune*'s 2009 list of most admired companies.

Continental under Bethune is a great example of using the principles of organizational architecture in a cohesive way to implement a strategic vision.

Ethics and Organizational Architecture

People generally have a pretty good idea of what they mean when they describe a person as "ethical." Most of us feel an emotional allegiance to the Golden Rule that urges us to treat others as we would have them treat us, and we value such qualities as honesty, integrity, fairness, and commitment to the task at hand. But should the strategy of the corporation involve ethics? And what does it mean for a corporation to behave ethically?

Although moral philosophers have been debating ethics since ancient times, there is no universally accepted philosophical consensus as to which behaviors are ethical and which are not. Lying, cheating, and stealing are almost universally viewed as wrong, but other behaviors or activities viewed by some as wrong are viewed by others as acceptable—witness the controversies in the U.S. over abortion, affirmative action, animal testing, the death penalty, genetically engineered crops, stem cell research, sweatshops, and the right to die, to name but a few. In each of these cases, there is simply no universally accepted ethical standard by which one can readily assess right and wrong.

And when it comes to defining the ethics of public corporations, the confusion only becomes worse. A corporation, after all, is simply a collection of individuals. In this sense, corporations do not behave ethically—only individuals do. Nonetheless, business ethics proscribes employee behavior such as giving or taking extravagant gifts, bribing government officials, misrepresenting data, and discriminatory hiring practices. Many of these behaviors are illegal, yet legality alone is not always sufficient to frame policy. For example, using child labor in a textile mill may be legal in Pakistan, but American or European customers might object because the practice is illegal in the U.S. and Europe. Business norms help to codify ethics, and yet these norms can vary in different countries. A useful guide might be to think about the poten-

tial reaction if a particular business practice were reported on the front page of the newspaper.

Encouraging Ethical Behavior

Are codes of ethics effective in deterring unethical behavior? If so, how and why are they effective? The most cynical view is that a corporate code of ethics is nothing more than a document that helps the firm defend itself against charges of illegal behavior. For example, when an individual is found guilty of wrongdoing, his or her employer is also vulnerable to federal sanctions such as fines. The organization can obtain a reduction in these penalties of as much as 50% simply by demonstrating that it has in place a compliance program that meets the U.S. Sentencing Commission's standards—whose requirements include a code of ethics and a training program.

And yet ethical codes can certainly alter employee behavior. In the first place, they clearly set out acceptable and unacceptable actions. Such codes typically emphasize the following:

- Employees must obey the law and observe statutory regulations.
- The reputation and integrity of the company in its relations with customers are of great importance.
- Employees must support the company's policies toward customers.
- Conflicts of interest between the company and the employee must be avoided.
- Confidential information gained in the course of business must not be used improperly.
- It is improper to conceal dishonesty and to protect others who are dishonest.
- Employees' dealings with other employees must be professional in all respects.
- Advice to customers should be restricted to statements about which the employee is confident.

Such guidelines inform employees that certain behaviors can damage the reputation of the firm and that the firm will impose severe penalties on employees found engaging in such actions. Ethical guidelines can also highlight behaviors that create value and hence will be rewarded by the firm. Corporate codes of ethics help to eliminate uncertainty about ethical standards and how to live up to them. Employees may be well versed in production techniques, but ethical behavior is generally less well defined. For example, what might have been acceptable behavior ten or twenty years ago may not be acceptable today. Social changes such as those brought about by movements as disparate as civil rights and women's rights on the one hand, and corporate restructuring on the other, have clearly altered conceptions of socially accepted behavior.

But simply having a code of ethics in place is not sufficient. To create the value-based or customer-focused organization

The Question of Corporate Social Responsibility

One source of confusion is the concept of “corporate social responsibility,” which is often used interchangeably with corporate ethics. In 1969, Ralph Nader and several other lawyers launched their Project on Corporate Responsibility with the following statement:

Today we announce an effort to develop a new kind of citizenship around an old kind of private government—the large corporation. It is an effort which rises from the shared concern of many citizens over the role of the corporation in American society and the uses of its complex powers. It is an effort which is dedicated to developing a new constituency for the corporation that will harness these powers for the fulfillment of a broader spectrum of democratic values.

As this statement suggests, the goal of some advocates of corporate social responsibility is to change the fundamental purpose of the corporation. In Nader’s view, the corporation is to be transformed from a means of maximizing investor wealth into a vehicle for using private wealth to redress social ills. The corporate social responsibility movement seeks to make business managers responsible for upholding “a broader spectrum of democratic values.” Corporate support for such values could take the form of philanthropic activities, the provision of subsidized goods and services to certain segments of the community, or the expenditure of corporate resources on public projects such as education, environmental improvement, and neighborhood reclamation projects.

In contrast, many managers are inclined to endorse Nobel laureate Milton Friedman’s prescription that the social mission of the corporation is “to make as much money for its owners as possible while conforming to the basic rules of society.” In this view, it is more efficient for the corporation to focus on creating wealth and to let shareholders, employees, and customers undertake their own charitable efforts.

To the extent they succeed in maximizing the wealth of their shareholders (or owners), corporations effectively enlarge the pool of individual resources available for charity.

But if the fundamental goal of making money is itself viewed as immoral by many advocates of corporate social responsibility, the contrast between these two views is not as pronounced as it might appear. Corporations that aim to maximize shareholder value generally find it in their interest to devote resources to constituencies such as employees, customers, suppliers, and local communities. For example, a company with a large plant in the inner city might decide that investing corporate resources and personnel to improve area schools would lead to better-trained job applicants, more productive employees, and lower-cost products. Giving money to the local university might benefit the firm by improving its research and development, increasing its access to top graduates, or enhancing cultural and educational opportunities for its employees, reducing turnover in the process. Improving the environment lowers the company’s legal exposure to environmental damage claims.

As a general rule, companies that aim to maximize shareholder value should allocate resources to all important corporate stakeholders—but only to the point where the marginal cost of such expenditures is equal to the marginal benefit of such relationships. With this calculus in mind, companies will routinely find it in their shareholders’ interest to invest in social causes of various kinds. And in the meantime, those companies that do succeed in maximizing firm value will effectively be maximizing the size of the economic pie that can (and to some extent will) be divided up among each of its constituencies—not just shareholders and bondholders, but managers, employees, customers, suppliers, charities, and local communities. Though shareholders are the primary beneficiary—and bondholders must get their due—each of these other stakeholders is likely to benefit from such an outcome.

that many companies seek to become, intangible aspects of corporate culture such as codes of ethics must be reinforced by more tangible structures. That is, the formal organizational systems that assign decision authority and measure and reward performance must all be internally consistent and designed to encourage value-adding behavior.

For example, consider the transfer pricing problem faced by a corporation with multiple divisions that buy from and sell to one another. The efforts of division managers to increase their respective divisions’ profits may come at the expense of the other divisions’ profits and possibly also at the

expense of firmwide profits. Top management may hope that instituting a code of ethics will encourage division managers to adopt a less provincial attitude and look beyond their own self-interest. But as long as the division managers are paid on the basis of the profits of their own divisions, they are unlikely to alter their behavior drastically. The company’s organizational architecture will have to be redesigned to change the division managers’ incentives. A common solution to the transfer pricing problem is to give divisional managers stock options with payoffs tied to the overall value of the company, in addition to bonuses for divisional performance.

In 1992, the State of California filed charges alleging that Sears Auto Centers were overcharging customers an average of \$230 for unnecessary or incomplete repairs. As it turned out, the salespeople at Sears Auto Centers earned commissions on their total sales and were penalized for missing their sales quotas, which created incentives to sell new shocks, for example, to customers whose existing shocks were fine. It is unlikely that Sears would have experienced consumer indignation, financial penalties, and unfavorable publicity if it had anticipated the quite predictable incentives for dishonesty that its compensation plan would create. Sears quickly put its salespeople on straight salary, eliminated sales quotas, and established a program that rewarded them for high levels of customer satisfaction.

Corporations develop ethics programs in an effort to persuade employees to put the interests of the organization or its customers ahead of their own. Leadership can be equally important in this effort. But consistency in the organizational design of the firm is crucial. Our approach accepts human self-

interest as given and rests on the principle that incentives work. A well-designed organizational architecture will encourage ethical behavior as well as the pursuit of shareholder value.

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Journal of Applied Corporate Finance (ISSN 1078-1196 [print], ISSN 1745-6622 [online]) is published quarterly, on behalf of Morgan Stanley by Wiley Subscription Services, Inc., a Wiley Company, 111 River St., Hoboken, NJ 07030-5774. Postmaster: Send all address changes to JOURNAL OF APPLIED CORPORATE FINANCE Journal Customer Services, John Wiley & Sons Inc., 350 Main St., Malden, MA 02148-5020.

Information for Subscribers *Journal of Applied Corporate Finance* is published in four issues per year. Institutional subscription prices for 2009 are:

Print & Online: US\$416 (US), US\$499 (Rest of World), €323 (Europe), £255 (UK). Commercial subscription prices for 2009 are: Print & Online: US\$556 (US), US\$663 (Rest of World), €429 (Europe), £338 (UK). Individual subscription prices for 2009 are: Print & Online: US\$105 (US), £59 (Rest of World), €88 (Europe), £59 (UK). Student subscription prices for 2009 are: Print & Online: US\$37 (US), £21 (Rest of World), €32 (Europe), £21 (UK).

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